

Table 7.6 MOM VS. MA Performance Comparisons (1/1976–12/2014)

	Sharpe	Sortino	Winner
SPX_MA	.57	.72	
SPX_TMOM	.59	.73	X
EAFE_MA	.49	.63	X
EAFE_TMOM	.44	.55	
REIT_MA	.74	.95	
REIT_TMOM	.78	.99	X
GSCI_MA	.26	.33	
GSCI_TMOM	.31	.36	X
LTR_MA	.50	.70	
LTR_TMOM	.70	.96	X

Combining TMOM and MA (ROBUST)

There are more complex methods to combine two strategies, but here we just apply a simple combination rule that is 50 percent invested in the TMOM strategy and 50 percent invested in the MA strategy. We label the 50/50 system, ROBUST. ROBUST invests in T-bills when a trading rule triggers. Because of the 50/50 nature, ROBUST can either be 100 percent allocated (both TMOM and MA flash green), 50 percent allocated (either TMOM or MA flash green, but not both), or 0 percent allocated (both TMOM and MA flash red) to a given asset class at a given point in time.

[Table 7.7](#) illustrates the performance of ROBUST.